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(c) Total charge on the assets will be more when the asset becomes older

With the passage of time, the cost of maintenance of an asset goes up. Hence, the amount of depreciation and cost of maintenance put together is less in the initial period and goes up year after year. But, this method does not consider this.

(d) Difficulty in the determination of scrap value

It may be quite difficult to assess the true scrap value of the asset after a long period say 10 or 15 years after the date of its installation.

Suitability

Straight line method of depreciation is suitable in case of fixed assets in respect of which useful life can be determined and maintenance and repair cost is the same throughout the life of the asset.

Illustration 1

On 1.1.2017 a firm purchased a machine at a cost of ` 1,00,000. Its life was estimated to be 10 years with a scrap value of ` 10,000. Compute the amount of depreciation to be charged at the end of each year.

Solution

$$\text{Amount of depreciation per year} = \frac{\text{Original cost of the asset} - \text{Estimated scrap value}}{\text{Estimated useful life of the asset in years}}$$

$$= \frac{1,00,000 - 10,000}{10} = \frac{90,000}{10} = ` 9,000 \text{ per year}$$

Illustration 2

A company has purchased a machinery for ` 1,80,000 and spent ` 10,000 for its installation. The estimated life of the machinery is 5 years with a residual value of ` 15,000. Find out the amount of depreciation to be provided every year.

Solution

$$\text{Amount of depreciation per year} = \frac{\text{Original cost of the asset} - \text{Estimated scrap value}}{\text{Estimated useful life of the asset in years}}$$

$$= \frac{1,90,000 - 15,000}{5} = \frac{1,75,000}{5} = ` 35,000 \text{ per year}$$

Note:

Original cost = Purchase price + Installation charges

= 1,80,000 + 10,000

= ` 1,90,000